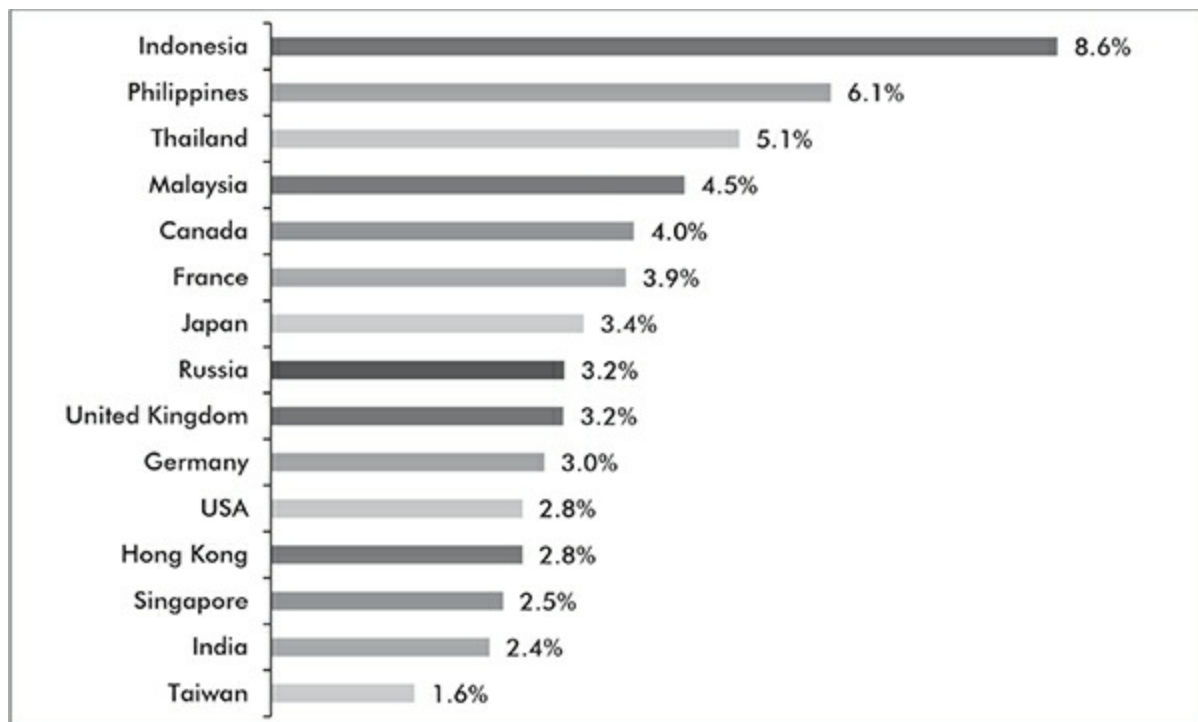


Exhibit 39: Indian rental yields are amongst the lowest in the world (2016)



Source: *Global Property Guide*

Almost by any yardstick, the residential property market in India is significantly overvalued. Some of the micro markets are stretched to a bubble proportion. Today, a small house in the suburbs of Mumbai costs anywhere between Rs 1.5 and 2 crore. The equivalent monthly instalment (EMI) for a loan of that amount is roughly Rs 1.5 to 2 lakh per month. To be able to afford a Rs 2 lakh EMI, a professional has to earn at least Rs 3.5 lakh per month. This corresponds to a pre-tax salary of about Rs 60 lakh per annum. As per Income Tax returns filed for FY17, there are only 1.7 lakh people in the country earning more than Rs 50 lakh annually. So, it is not clear who exactly will buy these tens of thousands of flats in the suburbs of Mumbai, New Delhi or Bengaluru.

Not surprisingly, prices have already corrected. As can be seen in the exhibit below, prices have come down significantly in a few cities and have